

**Is there a framework that can
help me to operationalize
strategy into actions
and
can monitor the progress or
effectiveness of the strategy?**

Balanced scorecard (BSC) Framework

(Framework given by **Robert S. Kaplan** and **David P. Norton**)



Balanced scorecard (BSC) Framework

The system/framework **connects the dots** between **big picture strategy elements** such as mission (our purpose), vision (what we aspire for), core values (what we believe in), strategy

and

the more **operational elements** such as:

- **strategic objectives** (continuous improvement activities),
 - **measures (or key performance indicators (KPIs))**, which track strategic performance),
 - **targets**, (our desired level of performance)
 - **initiatives** (projects that help you reach your targets)
-



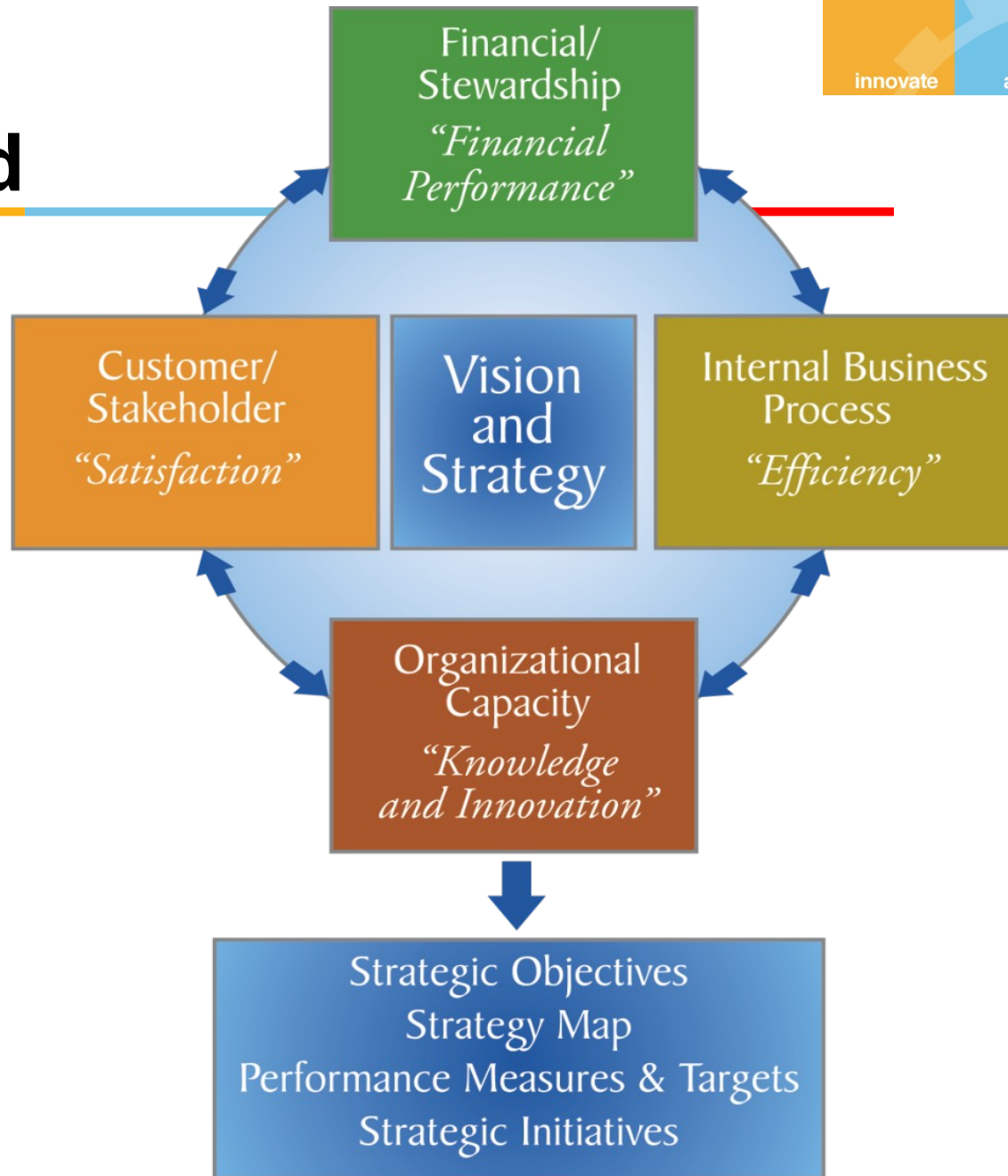
Viewing and Measuring Performance

Balanced scorecard– View and measures the performance from multiple perspectives:

- Financial Perspective
- Customer Perspective
- Internal business process perspective
- Innovation and learning perspective/Organizational capacity

The balanced scorecard suggests that we view the organization from four perspectives, and to develop metrics, collect data and analyze it relative to each of these perspectives:

Balanced scorecard



Strategy Map



Financial

Lower
Cost

Increase
Profitability

Increase
Revenue

Customer

Lower
Wait
Time

Improve
Customer
Retention

Internal Process

Increase
Process
Efficiency

Lower
Cycle
Time

Organizational Capacity

Improve
Knowledge and
Skills

Improve
Tools and
Technology

Leading
Question:
How?



Leading
Question
If _ Then _ ?



Strategy Maps

Strategy maps are **communication tools used to tell a story of how value is created for the organization.** They show a logical, step-by-step connection between strategic objectives in the form of a **cause-and-effect chain.**

Improving performance in the objectives found in the Learning & Growth perspective enables the organization to improve its Internal Process perspective Objectives, which in turn enables the organization to create desirable results in the Customer and Financial perspectives



Strategy Map

Mission/Vision/Values/Strategy

Perspective	Strategic Objectives	Measures / Key performance indicators (KPIs)	Targets	Initiative
Financial				
Customer				
Internal Process				
Organizational Learning & Growth/Organizational Capacity				

Translating Vision and Strategy: Four Perspectives

Financial	Financial			
	Objectives	Measures	Targets	Initiatives
"To succeed financially, how should we appear to our shareholders?"				

Internal Business Process	Internal Business Process			
	Objectives	Measures	Targets	Initiatives
"To satisfy our shareholders and customers, what business processes must we excel at?"				

Learning and Growth	Learning and Growth			
	Objectives	Measures	Targets	Initiatives
"To achieve our vision, how will we sustain our ability to change and improve?"				

Customer	Customer			
	Objectives	Measures	Targets	Initiatives
"To achieve our vision, how should we appear to our customers?"				

Vision and Strategy



Thank you
